



ZERO IMPACT
ENERGY

AUGUST 26, 2026

EV CHARGING INFRASTRUCTURE

NEW-BUILD DC FAST CHARGING PROPOSAL



Site imagery: Google Street View

PREPARED FOR

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Contents

This proposal is built so the decision can be made from Part One. Parts Two to Five support it and the appendix carries the working. Every figure is computed from the project model that accompanies this document — none is typed by hand — and any input that is not yet verifiable is flagged where it is used and again in Section 23.

PART ONE THE DECISION What is being asked, what comes back, and what is at risk		
1	Financial Summary	3
2	Executive Summary	4
3	The Cash Position	5
4	Scenarios — Downside, Base and Upside	6
PART TWO THE OFFER The equipment, the price, the terms and the commitment behind them		
5	Proposed Charging Configuration	8
6	Charging Equipment Details	10
7	Scope of Work, Price and Exclusions	10
8	Investment Options and Financing	12
9	Service Coverage and What Is Committed	13
PART THREE THE EVIDENCE Where every number in Part One comes from		
10	Site and Basis of Design	17
11	Market Basis and Demand Assumptions	19
12	How the Utilisation Assumption Was Set	20
13	Revenue Projection Methodology	21
14	Carbon Credits and Environmental Value	22
15	Electricity Cost and Tariff Basis	23
16	Demand Charge Exposure and Sensitivity	24
PART FOUR DELIVERY How it gets built, connected and commissioned		
17	Electrical Design and Service Sizing	26
18	Utility Interconnection — SCE Rule 29	28
19	Civil, Site and ADA Scope	29
20	EVOLV Software and Payment Operations	30
21	Project Delivery Plan and Schedule	31
PART FIVE COMMERCIAL Incentives, risk and the terms of acceptance		
22	Incentives and Tax Treatment	33
23	Risks, Open Items and How They Are Handled	35
24	Terms, Proposal Validity and Acceptance	36
PART SIX APPENDIX Supporting detail for the analyst		
A	Project Information and Basis	38
B	Ten-Year Revenue Detail	40
C	Consolidated Ten-Year Cashflow	41
D	Sixty-Month Financing Schedule	42



PART ONE

THE DECISION

What is being asked, what comes back, and what is at risk

- 1 Financial Summary
- 2 Executive Summary
- 3 The Cash Position
- 4 Scenarios — Downside, Base and Upside

1

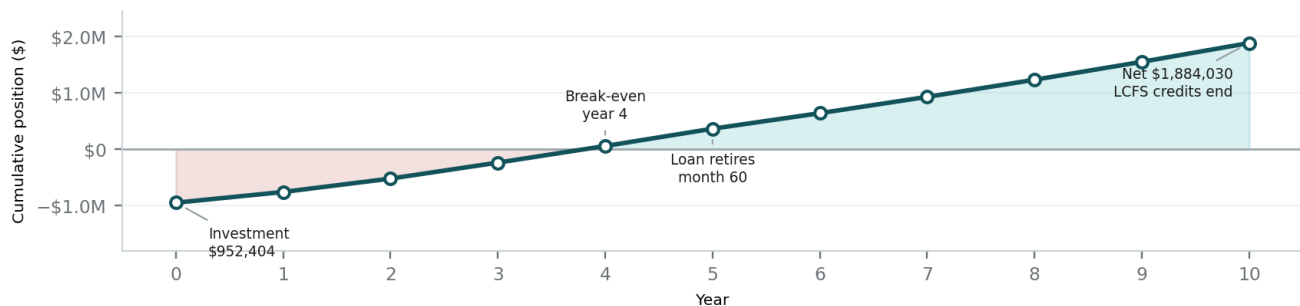
FINANCIAL SUMMARY

*The whole decision on one page***\$952,404****TURNKEY INVESTMENT**
All scope, after discount**\$1,884,030****NET RETURN, 10 YEARS**
After the investment**\$42,935****PEAK CASH AT RISK**
If financed — Section 3**24.4%****INTERNAL RATE OF RETURN**
NPV \$865,720

THE INVESTMENT	Amount
Grand total, all scope at list	\$1,035,495.60
Discount applied	(\$83,091.25)
Turnkey project cost	\$952,404.35
Financed over 5 years at 8.39%	\$19,489.58 / month
Total interest across the term	\$216,970.45

THE RETURN OVER 10 YEARS	Amount
Carbon capacity credit, net	\$980,400.46
Charging operating profit	\$1,856,033.45
Total returned	\$2,836,433.90
Less the investment	(\$952,404.35)
Net return	\$1,884,029.56

Return on investment timeline



Key financial drivers

Driver	Value	Why it matters
Carbon credit cover	103%	The capacity credit alone returns 103% of the capital, and it is paid on nameplate and uptime — not on driver volume
Break-even	Year 4	Consolidated basis, both return streams, after the full investment
Cash-positive	Month 13	If financed, monthly income exceeds the loan payment from this month onward
Peak cash at risk	\$42,935	The deepest cumulative funding point, month 12 — this is the real exposure, not the \$952,404
Return on cash at risk	44x	Net return measured against cash actually funded rather than capital deployed
Utilisation assumed	5.0%	Against a California average of 23.1%. The projection is set to be beaten
Downside stress NPV	\$3,593	Still positive with six adverse assumptions stacked at once — Section 4



2

EXECUTIVE SUMMARY

Start with the part that does not depend on drivers

Most EV charging proposals ask a property owner to believe a demand forecast. This one does not have to. California's Low Carbon Fuel Standard pays Fast Charging Infrastructure capacity credits on **installed DC capacity and demonstrated uptime**, not on energy dispensed. On the 1,440 kW of DC capacity proposed here that is \$103,200.05 a year gross, \$98,040.05 net of the aggregator's share, for \$980,400.46 across the ten-year crediting period.

That figure is **103% of the total project cost of \$952,404.35**. Before a single driver plugs in, a correctly registered and reliably maintained installation returns more than its own capital cost through the credit alone. Charging revenue is then upside on top of it, not the thing the case rests on.

THE STRUCTURE OF THIS DEAL IN ONE SENTENCE. \$980,400.46 of capacity credit covers 103% of the \$952,404.35 investment on nameplate and uptime alone; \$1,856,033.45 of charging profit sits on top of it and carries all the demand risk; and if the project is financed, the cash actually at risk peaks at \$42,935.50 rather than the full capital sum.

What is proposed

A new, separately metered electric-vehicle charging installation at 15000 Hawthorn Blvd, Hawthorne, CA 90260: 4 dual-port 360 kW DC fast-charging cabinets giving 8 simultaneous positions at 176.4 kW each, plus 4 Level 2 positions for overnight guests, on a new 3,200 A service carrying 1,468.8 kW of connected load. There is no charging equipment on the site today, so this is a greenfield installation rather than a replacement.

The split configuration follows the hospitality use case. A hotel serves two charging populations: transient drivers who arrive, charge fast and leave, and overnight guests whose vehicles sit for eight to twelve hours. Fast chargers serve the first group and earn the revenue. Level 2 serves the second at a fraction of the capital cost and turns EV ownership into a reason to book the property rather than a reason to book elsewhere.

The charging upside

Charging operations are modelled at 5.0% port utilisation against a California average of 23.1% — 21.6% of what an average state port already achieves. On that deliberately low basis the site produces \$185,799 of annual operating profit at steady state in year three, rising to \$236,342 by year ten, for \$1,856,033.45 across the horizon. If the site reaches even half the California average, that figure roughly doubles. Section 4 shows what happens in both directions.

The commercial position

Total project cost is \$952,404.35 after a \$83,091.25 discount, and that is a turnkey number: hardware, five years of service and extended warranty, five years of platform access, the full electrical and civil scope, the 3,200 A switchgear, design, permits and the SCE Rule 29 interconnection application. Combined net return over ten years is \$1,884,029.56, a net present value of \$865,720.38 at 8.39% and an internal rate of return of 24.4%, with cumulative break-even in year 4.

Financed over five years at 8.39%, the payment is \$19,489.58 a month. Carbon credits alone contribute \$8,170 of that from the first full year, independent of driver volume. The project funds a shortfall for twelve months, reaching a deepest point of \$42,935.50 in month 12, turns cash-positive in month 13, and has returned \$144,583.14 net by the end of the term. Section 3 sets that out month by month.



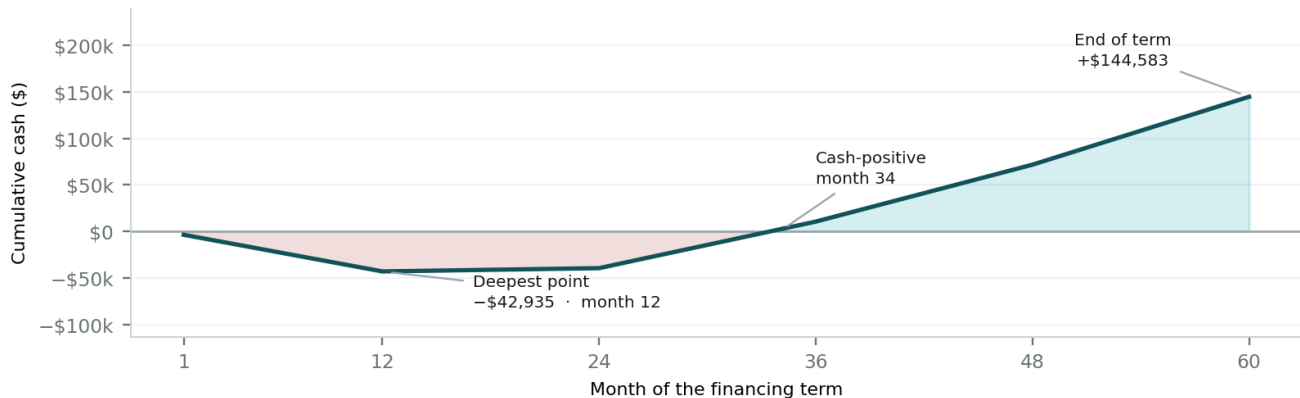
3

THE CASH POSITION

What the project actually costs to hold

The ask is not the capital sum

A \$952,404.35 project sounds like a \$952,404.35 commitment. Financed, it is not. The equipment secures the facility, the payment is fixed at \$19,489.58 a month, and two income streams run against it from the first year. What the property actually funds is the gap between them, and only until the gap closes.



The funding profile, year by year

Year	Loan payments	Carbon credit, net	Charging profit	Net position	Cumulative
1	(\$233,875)	\$98,040	\$92,899	-\$42,935	-\$42,935
2	(\$233,875)	\$98,040	\$139,349	\$3,514	-\$39,421
3	(\$233,875)	\$98,040	\$185,799	\$49,964	\$10,543
4	(\$233,875)	\$98,040	\$196,947	\$61,112	\$71,654
5	(\$233,875)	\$98,040	\$208,764	\$72,929	\$144,583

\$42,935PEAK CASH AT RISK
Deepest point, month 12**Month 13**CASH-POSITIVE FROM
Income exceeds the payment**\$144,583**NET CASH BY MONTH 60
Returned across the term**44x**RETURN ON CASH AT RISK
\$1,884,030 against \$42,935

Why this is the number that matters

Break-even in year 4 reads like four years of paying for something. It is not. On the financed structure the property funds \$42,935.50 cumulatively across the first twelve months and never funds more than that, because from month 13 the combined income of carbon credit and charging profit exceeds the loan payment every month thereafter. By the end of the five-year term the project has returned \$144,583.14 in net cash, the facility has retired, and the carbon credit continues for a further five years against no remaining debt.

Measured properly — net return against cash actually funded rather than against capital deployed — the project returns roughly 44 times what it costs to hold. That is the figure a treasurer should be looking at, and it is the reason the financed structure is worth considering even where the capital is available.



4

SCENARIOS — DOWNSIDE, BASE AND UPSIDE

Three cases, computed not asserted

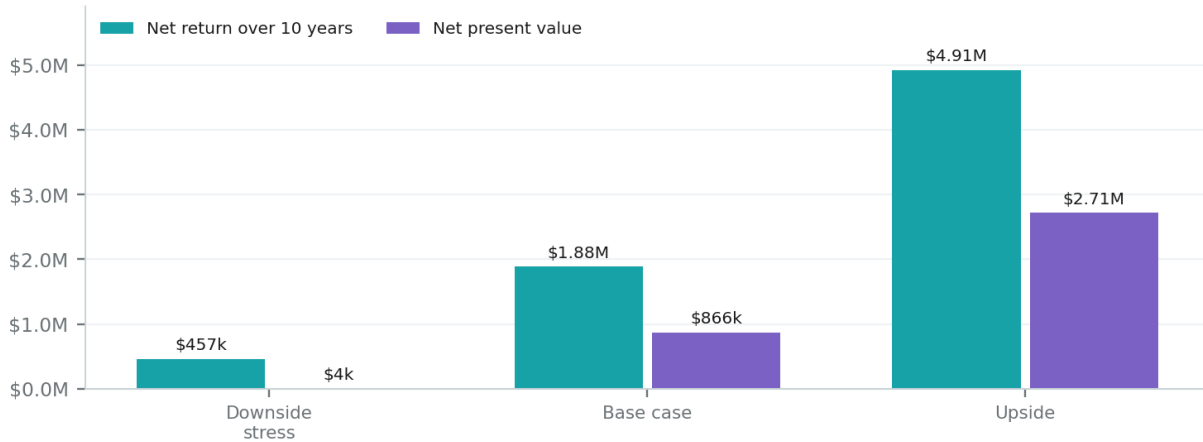
The base case is the model as it stands. The downside case is a stress test: six assumptions moved against the project at once, which is harsher than any single realistic outcome. The upside case moves only two in the project's favour, and both of them remain below what the California market already delivers. All three run through the same calculation engine and reconcile to the project model to the cent.

The assumptions moved

Assumption	Downside stress	Base case	Upside
DC port utilisation	3.5%	5.0%	11.5%
Retail price to driver	\$0.600/kWh	\$0.650/kWh	\$0.650/kWh
Delivered electricity cost	\$0.2619/kWh	\$0.2095/kWh	\$0.2095/kWh
Annual growth after ramp	3%	6%	8%
LCFS credit rate	\$60.92/kW/yr	\$71.67/kW/yr	\$71.67/kW/yr
SCE demand charge from year 6	\$5/kW-month	\$0/kW-month	\$0/kW-month

What each case returns

Outcome	Downside stress	Base case	Upside
Charging profit, 10 years	\$576,203	\$1,856,033	\$4,886,532
Carbon credit, 10 years net	\$833,340	\$980,400	\$980,400
Net return, 10 years	\$457,139	\$1,884,030	\$4,914,528
Net present value	\$3,593	\$865,720	\$2,714,986
Internal rate of return	8.5%	24.4%	47.1%
Break-even	Year 7	Year 4	Year 3
Peak cash at risk	\$323,407	\$42,935	\$0



Reading the downside case honestly

The downside column assumes simultaneously that utilisation lands 30% below an already conservative figure, that the property prices at the state average rather than above it, that delivered electricity costs 25% more than modelled, that growth halves, that the LCFS credit rate falls 15%, and that SCE reinstates a \$5 per kW-month demand charge from year six. Six adverse moves at once is not a forecast; it is a floor.

Even there the project returns \$457,138.93 over ten years and a net present value of \$3,592.77 — still positive at a 8.39% discount rate, with an internal rate of return of 8.5% against a financing cost of 8.39%. The project clears its cost of capital in the stress case. What changes materially is the cash profile: peak funding rises to \$323,407.16 and the financed structure does not turn cash-positive inside the term. That, rather than the return, is the exposure worth planning for.

WHAT THE UPSIDE CASE IS AND IS NOT. The upside column assumes the site reaches 11.5% port utilisation — half the current California average — and grows at 8% a year against a market implied rate of 10.8%. Price and electricity cost are held at base. It is not a best case; it is what happens if the site performs like a normal Californian charging site rather than a poor one.



PART TWO

THE OFFER

The equipment, the price, the terms and the commitment behind them

5	Proposed Charging Configuration
6	Charging Equipment Details
7	Scope of Work, Price and Exclusions
8	Investment Options and Financing
9	Service Coverage and What Is Committed

5

PROPOSED CHARGING CONFIGURATION

Equipment schedule

SKU	Description	Rating	Ports each	Qty	List each	List total
TP5-360-480-1-300	360kW DCFC All In One Charger - 1000VDC, Cables: 350A CCS1 & NACS ; Can charge	360 kW	2	4	\$99,000.00	\$396,000.00
CTX-C80-240-2	80A Dual Commercial L2 Charger (18' Cable with Modem)	—	2	2	\$2,194.50	\$4,389.00
CTX-FLUXPED-CMS-2	Dual Retractor (Post)	—	—	2	\$632.50	\$1,265.00
Total			12			\$401,654.00

Configuration rationale

The DC side is four dual-port cabinets rather than eight single-port units. A dual-port cabinet serves two vehicles simultaneously from one power module, one enclosure, one foundation and one branch circuit. It costs less to buy, less to install and less to maintain than two single-port cabinets of the same total capacity, and it presents 8 usable positions to drivers. The trade-off is that both positions on a cabinet share the power module, so two vehicles charging at once receive 176.4 kW each rather than 360 kW. That is the figure this proposal models throughout — 176.4 kW per position is the honest number and the one used in every revenue calculation.

The Level 2 complement is 4 positions across two dual units, mounted on retractor posts to keep cables off the ground. At 7.06 kW a Level 2 position adds roughly 40 to 50 miles of range across a typical overnight stay, which is the correct product for a guest whose vehicle is parked from evening to morning. Level 2 contributes only \$5,625 of steady-state gross revenue, so it is not in the scope to earn — it is there because a hotel that cannot charge an EV overnight loses the booking to one that can.

Connector standards

Standard	Provision	Covers
NACS	Native cable, standard on every DC position	Tesla and every manufacturer that has adopted the North American Charging Standard
CCS1	Native cable, standard on every DC position	The current non-Tesla CCS fleet in North America



Standard	Provision	Covers
CHAdemo	Not supplied	Superseded. A driver needing it uses a vehicle-side adapter
J1772	Standard on every Level 2 position	Universal Level 2 across all makes

CONNECTOR STRATEGY. Every DC position carries a native NACS cable and a native CCS1 cable. Tesla vehicles are the largest EV population in California and NACS is now the North American standard, so serving them through an adapter is no longer good enough for a site that wants their business. CHAdemo is not supplied: the standard has been withdrawn from new vehicles in North America, and cabling for it would spend capital on a shrinking fleet rather than a growing one.



6

CHARGING EQUIPMENT DETAILS

Continuation of Section 5

360 kW DC fast-charging cabinet

Attribute	Specification
Model	TP5-360-480-1-300 all-in-one DC fast charger
Cabinet rating	360 kW
Output voltage range	Up to 1000 VDC
Connectors	350 A — NACS and CCS1, one native cable each
Simultaneous charging	Two vehicles, power shared
Power per position	176.4 kW after 98.0% nameplate de-rate
Input	480 V three-phase
Branch protection	600 A per cabinet
Connectivity	Integrated 4G modem, EVOLV platform
Quantity proposed	4 cabinets = 8 positions

Level 2 dual commercial charger

Attribute	Specification
Model	CTX-C80-240-2 dual commercial Level 2
Rating	80 A, 240 V
Power per position	7.06 kW after de-rate
Connectors	Two J1772, 18 ft cable each
Mounting	Dual retractor post, CTX-FLUXPED-CMS-2
Connectivity	Integrated modem, EVOLV platform
Quantity proposed	2 units = 4 positions

Capacity summary

8 DC POSITIONS 176.4 kW each	4 LEVEL 2 POSITIONS 7.06 kW each	1,469 kW CONNECTED LOAD Rated, all equipment	441,327 kWh PER YEAR At steady state
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7

SCOPE OF WORK, PRICE AND EXCLUSIONS



Priced scope

Scope line	List	Customer price	Basis
Charger hardware	\$401,654.00	\$341,405.90	4 x TP5-360-480-1-300 dual-port cabinets, plus the Level 2 units and retractor posts
Service and extended warranty	\$152,287.66	\$129,444.51	5 years, priced by charger class
EVOLV network and commissioning	\$28,792.80	\$28,792.80	12 ports x \$39.99 per port per month x 5 years
Sales tax on chargers	\$24,751.93	\$24,751.93	7.250% computed on the discounted equipment price, not on list
Design and engineering	\$29,007.50	\$29,007.50	Electrical design, site plan, ADA layout and permit set on a fixed-unit basis
Wires, conduits and peripherals	\$29,236.14	\$29,236.14	Conductor, conduit and peripherals at the quantities in Section 17
Main distribution switchgear	\$168,381.96	\$168,381.96	3,200 A switchboard, main breaker and metering section - see Section 17
Site works — concrete, paving, ADA, bollards, signage	\$45,454.30	\$45,454.30	Quantities as scheduled in Section 19
Dump, waste and freight	\$3,630.00	\$3,630.00	Spoil, packaging and construction waste disposal
Permits and plan check	\$4,235.00	\$4,235.00	AHJ fees - verified at plan check
Utility application and contract fees	\$4,489.10	\$4,489.10	SCE application and contract processing
Construction equipment rentals	\$14,840.20	\$14,840.20	Trenching, coring, lifting and compaction plant
Labour	\$108,900.00	\$108,900.00	Site electrical and civil labour, all trades, inclusive
Construction project management	\$16,335.00	\$16,335.00	Site supervision, scheduling, inspection coordination and closeout
Utility interconnection — Rule 29 design fee	\$3,500.00	\$3,500.00	SCE designs and builds the EV service extension under Rule 29; this line is the design and application allowance
Additional or unforeseen scope	\$0.00	\$0.00	Carried at zero. Any addition is quoted as a change, not absorbed
Grand total	\$1,035,495.60	\$952,404.35	Discount realised: \$83,091.25
TURNKEY PROJECT COST		\$952,404.35	The financed amount. No further deductions.

The customer-price column is net of discount at every line, so it sums to the turnkey cost without further deduction. Sales tax is computed on the discounted equipment price, not on list.

Exclusions — stated by name

A silent zero is worse than a stated exclusion. Every item below is outside this price. If any of them is required, it will be quoted as a change before work proceeds, not absorbed and discovered later.

Excluded item	Trigger that would bring it into scope
SCE Rule 15 distribution line extension	If SCE must extend or reinforce distribution to serve the load. A Rule 15 allowance is calculated and any excess is a customer contribution.
SCE Rule 16 service extension component	Applies to temporary or speculative service. Same trigger and treatment.
Income Tax Component of Contribution (ITCC)	Arises only if Rule 15 or 16 money changes hands. A tax gross-up on customer contributions to utility-owned plant.
Environmental studies, easements and rights of way	Site specific. None identified at this stage.



Excluded item	Trigger that would bring it into scope
Rock excavation, boring or unforeseen subsurface obstruction	Found at trenching. The GPR scan in the scope is intended to identify this before it becomes a change.
Hazardous material handling or abatement	If encountered during excavation.
Transformer pad space	Client provides space on the premises. A space obligation, not a cost line.
Structural work, deck penetration or shoring	Not applicable to an at-grade surface lot; listed for completeness.
Site lighting upgrades	If a photometric review finds existing lighting inadequate.
On-site energy storage	Not in this scope. Relevant only if demand charges resume — see Section 16.
Network and platform costs after year five	Modelled and deducted in the revenue projection, but not part of the capital price.
Utility usage charges	Electricity consumed is an operating cost, modelled in Section 13, not a capital item.

CLARIFICATION ON THE INTERCONNECTION LINE. The \$3,500.00 carried for SCE Rule 29 is a design and application allowance. It is not a quotation, and SCE publishes no flat design charge under Rule 29. The true figure is established when SCE issues its design, and the allowance trues up against it — up or down — as a transparent adjustment.

8

INVESTMENT OPTIONS AND FINANCING

Investment summary

\$1,035,496 GRAND TOTAL All scope at list	(\$83,091) DISCOUNT Hardware, service, warranty	\$952,404 TURNKEY COST The financed amount	\$19,490 MONTHLY PAYMENT 60 months at 8.39%
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Option A — direct purchase

The client funds \$952,404.35 at the milestones agreed in the definitive agreement and owns the asset outright from commissioning. All charging revenue and all carbon credit revenue accrue to the client with no financing cost. On the modelled assumptions this produces a net present value of \$865,720.38 and an internal rate of return of 24.4%, with cumulative break-even in year 4.

Option B — equipment finance through De Lage Landen

De Lage Landen is a subsidiary of the Rabobank Group and a long-established equipment finance provider. Financing preserves the client's capital and matches the cost of the asset to the revenue it produces.

Term	Detail
Amount financed	\$952,404.35
Annual rate	8.39%
Term	5 years, 60 monthly payments



Term	Detail
Monthly payment	\$19,489.58
Total paid over the term	\$1,169,374.80
Total interest	\$216,970.45
Security	The financed equipment
Approval	Subject to credit approval by the lender

How the payment is covered

Source	Monthly at year 1	Monthly at year 3	Monthly at year 5
Carbon credit, net	\$8,170	\$8,170	\$8,170
Charging profit	\$7,742	\$15,483	\$17,397
Combined	\$15,912	\$23,653	\$25,567
Less loan payment	(\$19,490)	(\$19,490)	(\$19,490)
Net monthly position	-\$3,578	\$4,164	\$6,077

The project is modelled to cover its own financing from the first full year of operation. Carbon credits alone contribute \$8,170 per month against a payment of \$19,489.58, independent of driver volume, and charging profit closes the gap. The facility retires at the end of year 5 while carbon credits continue through year 10 and the charging asset continues indefinitely.

9

SERVICE COVERAGE AND WHAT IS COMMITTED

What is committed, and what is not

This section is written to be read literally. Zero Impact Energy commits to the things it controls and does not commit to the things it does not. A charging site depends on hardware built by a manufacturer, a cellular network operated by a carrier, an electricity supply operated by the utility, a parking area controlled by the property, and drivers who behave as they choose. No supplier can guarantee the availability of that whole chain, and any supplier who offers to is either mispricing the risk or relying on exclusions the client has not read.

THERE IS NO CHARGER-AVAILABILITY GUARANTEE IN THIS PROPOSAL. Zero Impact Energy does **not** offer, and this proposal does not contain, a service level agreement on charger uptime, station availability, energy dispensed, session success rate or revenue. The only availability commitment offered is on the EVOLV platform, defined below and limited to the platform itself. Everything else in this section is a commitment about **how we respond**, not about the outcome.

The one availability commitment — EVOLV platform only

EVOLV is the software and network layer Zero Impact Energy operates. It is the only element of the installation under our sole control, so it is the only element carrying an availability commitment.



Term	Commitment
Scope	The EVOLV platform only — its hosted services, the driver payment interface, session recording, availability logging and the management portal.
Committed availability	99.5% of each calendar month, measured at the platform.
Measurement point	The EVOLV platform itself. Not the charger, not the link between them.
Excluded from measurement	Any period in which the platform is reachable but a charger is not, for any reason.
Remedy	A pro-rata credit against the EVOLV platform fee for the affected month, and nothing else. The remedy is capped at the platform fee for that month.
What the remedy is not	It is not compensation for lost charging revenue, lost carbon credit, lost driver goodwill, or any other consequential loss. Those are expressly excluded.
Reporting	Platform availability is visible in the portal and reported on request.
Term	The five years of platform access included in the project price.

What is expressly outside any commitment

The following are outside the platform commitment and outside any other commitment in this proposal. This list is intended to be comprehensive rather than illustrative.

Category	Examples — not exhaustive within each category
Charging hardware	Power module, contactor, connector, cable, display, payment terminal, cooling or enclosure failure; manufacturer defect, firmware fault or recall; component lead time or parts availability. These are addressed by the warranty and service coverage below, which is a repair obligation and not an availability guarantee.
Connectivity	Cellular coverage, carrier outage, SIM or modem failure, bandwidth, latency, network congestion, and any change in carrier service or pricing. The chargers depend on a cellular network Zero Impact Energy neither owns nor operates.
Electricity supply	Utility outage, planned or unplanned; brownout, voltage or frequency excursion, phase loss; utility equipment failure upstream of the service point; load shedding, public safety power shutoff, curtailment or any demand-response event.
Vandalism, theft and damage	Cable cutting or theft, connector damage, graffiti, forced entry, deliberate damage to any part of the installation, and vehicle strike whether or not the driver is identified.
Driver behaviour and misuse	User error, failed authorisation or payment on the driver's side, incompatible or faulty vehicles, vehicle-side charging faults, abuse of equipment, stalls occupied by non-charging vehicles, and any dispute between a driver and the property.
Site conditions and access	Charging stalls blocked, obstructed, coned off, under repair or otherwise unavailable; the property restricting access; service personnel unable to reach the equipment; snow, flood, fire or other site condition.
Third-party services	Payment processor, card network, acquiring bank, LCFS aggregator, and any other third party in the transaction or reporting chain.
Client-side acts and omissions	Unauthorised modification, repair or relocation of the equipment; failure to notify a fault; failure to maintain the site electrical system beyond the service point; non-payment suspending service.
External events	Force majeure, weather, seismic event, civil disturbance, regulatory or tariff change, supply-chain disruption, and any act of a government or utility.
Scheduled work	Planned maintenance, firmware updates and platform releases notified in advance.

What Zero Impact Energy does commit to — response, not outcome



Response is within our control and is therefore where a commitment can honestly be made. The following apply to faults reported or detected within the included service scope, during the five years of coverage carried in the project price.

Commitment	Target	Note
Monitoring	Continuous	Platform-side fault detection on connected equipment
Acknowledgement of a reported fault	Same business day	From the client's report or from platform detection
Remote diagnosis attempt	Within one business day	Remote reset resolves a material share of faults
On-site dispatch where remote fails	Within three business days	Subject to site access and parts availability
Parts under warranty	Ordered on diagnosis	Lead time is the manufacturer's, not ours
Status reporting	Until closure	The client is told what is wrong and what happens next
Escalation	Named contact	A route past first-line support when a fault persists

These are response targets, not guarantees of repair within a period, and not a guarantee that the equipment will be available. Nothing in this table creates a liability for lost revenue, lost carbon credit or any other consequential loss.

Why the availability risk sits with the site, and what reduces it

Being straightforward about this matters more than a comfortable clause. LCFS capacity credits are conditional on demonstrated availability, and the charging revenue in this model assumes working equipment. That exposure sits with the site owner, because the site owner owns the asset. What this proposal does about it is practical rather than contractual: 5 years of manufacturer warranty, extended warranty and service coverage are built into the capital price rather than sold as an option, so maintenance is funded from day one and there is no incentive to defer a repair in a slow quarter. The EVOLV platform provides the fault detection and the availability record the LCFS programme requires.

The client should also expect the practical mitigations that reduce downtime to be a shared effort: keeping stalls clear and accessible, reporting damage promptly, maintaining the cellular path, and treating a charging fault as a same-day operational matter rather than a facilities backlog item. Section 23 carries equipment downtime as a stated business risk rather than a transferred one.

Coverage included in the project price

Period	Coverage	Cost treatment
Years 1 to 2	Manufacturer warranty plus in-warranty service and support	Included in the project price
Years 3 to 5	Extended warranty plus full service coverage	Included in the project price
Years 6 to 10	Renewable annually at the then-current rate	Modelled at \$43,031 per year and deducted from operating profit

What service coverage includes

Element	Detail
Remote monitoring	Continuous, through the EVOLV platform
Fault diagnosis	Remote first, with dispatch where a remote reset does not resolve the fault
Parts	Covered under warranty and extended warranty for the included term
Labour	Covered for warranty and service events within the included term



Element	Detail
Support	US-based technical support
Preventive maintenance	Scheduled inspection of connectors, cables, enclosures and cooling
Software	Firmware and platform updates

Service coverage is a repair obligation. It is not an availability guarantee, and it does not extend to any of the categories excluded earlier in this section.

Client obligations

These are not boilerplate. Each one is a condition the client controls and Zero Impact Energy does not, and each one materially affects how quickly a fault is resolved.

Obligation	Detail
Site access	Reasonable and timely access for service personnel, including out of hours where a fault warrants it
Housekeeping	Keeping charging stalls clear, accessible and free of non-charging vehicles
Connectivity	Maintaining any site-side network path the equipment relies on, and not obstructing cellular signal
Prompt reporting	Notifying damage, vandalism, vehicle strike or a driver-reported fault without delay. An unreported fault cannot be responded to
Physical security	Reasonable lighting, surveillance and site supervision appropriate to a public-access installation
No unauthorised work	No modification, repair, relocation or third-party servicing of the equipment without written agreement
Rule 29 covenant	Operating and maintaining the equipment for the minimum term SCE requires, and remedying maintenance issues within the period the tariff allows
Insurance	Carrying property and liability cover appropriate to the installation, including vandalism and vehicle impact



PART THREE

THE EVIDENCE

Where every number in Part One comes from

10	Site and Basis of Design
11	Market Basis and Demand Assumptions
12	How the Utilisation Assumption Was Set
13	Revenue Projection Methodology
14	Carbon Credits and Environmental Value
15	Electricity Cost and Tariff Basis
16	Demand Charge Exposure and Sensitivity

10

SITE AND BASIS OF DESIGN



The property at 15000 Hawthorn Blvd, looking east from the street frontage. The porte-cochere and the surface lot beyond it are the two candidate zones for the charging plaza. Imagery: Google Street View.

Physical conditions assumed

The design in this proposal is based on the site information provided and on a visual review of the property. It has not yet been validated by a site walk with a licensed electrical contractor, and the scope below carries the assumptions that a walk would confirm or correct. Where an assumption drives cost, it is stated with the quantity used.

Design item	Basis carried in this proposal	Confirmed by
Charging plaza location	Surface parking beyond the porte-cochere, single ownership	Site walk
Feeder run to cabinets	660 ft average per cabinet, four runs	Site walk and utility point of delivery



Design item	Basis carried in this proposal	Confirmed by
Service feeder run	400 ft from the point of delivery to the switchboard	SCE design
Trenching medium	Asphalt paving, open-cut trench and repave	Site walk and GPR scan
Subsurface obstructions	None identified; GPR scan carried in the scope	GPR scan
Transformer pad	Client provides space on the premises	SCE design
Switchgear location	Exterior pad adjacent to the plaza	Site walk
ADA provision	3 accessible stalls and 1 ramp	Plan check
Structural	At-grade surface lot, no structural deck involved	Site walk

What a site walk changes

The three quantities that move the price are the feeder run length, the trench medium and any subsurface obstruction. A feeder run materially shorter than the assumed 660 ft reduces conductor and conduit cost; a longer run increases it. Rock, an unmapped utility, or a required bore rather than an open cut is the most common source of change on a project of this type. The electrical scope in Section 7 states the quantities carried so that any variance is visible rather than absorbed.



11

MARKET BASIS AND DEMAND ASSUMPTIONS

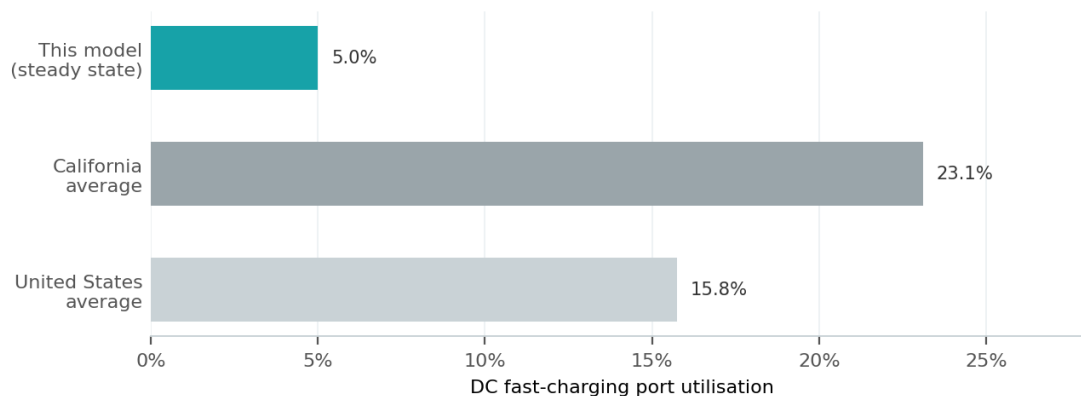
Where the numbers come from

With no site history to draw on, the revenue projection is anchored to published industry data for DC fast charging by state, and then set deliberately below it. The table shows the market data used. The comparison that matters is the last one: what this model assumes against what an average California port actually achieves.

Market	Port utilisation	Price to driver \$/kWh	Ports in service	Note
United States (average)	15.8%	\$0.538	—	National baseline
California	23.1%	\$0.606	17,374	Largest footprint in the country
District of Columbia	29.7%	—	—	Highest utilisation
Hawaii	28.7%	\$0.856	—	
Florida	20.1%	—	—	
Alaska	2.0%	—	—	Lowest utilisation
Nebraska	—	\$0.428	—	Lowest price in the country

Source: Paren, US EV charging market data, Q2 2026. Utilisation is measured port-time in use across reporting DC fast-charging networks.

This model against the market



Measure	Market	This model	Position
DC port utilisation	23.1%	5.0%	21.6% of the California average
Retail price to driver	\$0.606/kWh	\$0.650/kWh	15.5% above the state average
Annual growth after ramp	10.8%	6.0%	Below the market implied rate
kWh per day at steady state	5,477	1,185	DC stream only, at benchmark versus modelled



THE CONSERVATISM IS DELIBERATE. The model runs the DC ports at 5.0% utilisation. The California average is 23.1%. A new site with no established driver base should not be underwritten at the average, because the average includes mature stations with years of habit behind them. If this site reaches even half the state average, the revenue in Appendix B roughly doubles. The projection is built to be beaten, not met.

12

HOW THE UTILISATION ASSUMPTION WAS SET

Continuation of Section 11

The build-up, step by step

Utilisation is not entered as a single percentage. It is built from four physical quantities, each of which can be argued with independently. This is the whole DC calculation.

Step	Quantity	Value	Where it comes from
1	DC charging positions	8	4 cabinets x 2 ports
2	Stalls occupied at any moment	1.6	20.0% of 8 positions
3	Chargeable hours per stall per day	6	25.0% of a 24-hour open day
4	Charging stall-hours per day	9.6	Step 2 x step 3
5	Rated power per position (kW)	176.4	360 kW cabinet, 98.0% de-rate, 2 ports
6	Average delivered power (kW)	123.48	Step 5 x 70.0% charging-curve taper
7	DC kWh per day	1,185	Step 4 x step 6
8	Level 2 kWh per day	23.7	4 positions, same method
9	Site kWh per day	1,209	Step 7 + step 8
10	Site kWh per year at steady state	441,327	Step 9 x 365

The taper, and why it is here

A 360 kW cabinet does not deliver 176.4 kW for the whole of a session. Lithium-ion charging curves fall away sharply above roughly 60 to 80 percent state of charge, so the average power actually delivered across a real session is materially below the port rating. This model applies a 70.0% taper, giving an average delivered power of 123.48 kW. Projections that omit the taper overstate energy sales by roughly 42.9% and are the single most common error in EV charging pro formas.

One point deserves emphasis, because it works in the opposite direction on the cost side: the taper reduces energy delivered, but it does not reduce instantaneous demand. A vehicle that arrives at a low state of charge draws full rated power. The electrical service, the switchgear and any demand charge are therefore sized on the rated figure, not the tapered one. Section 17 sizes the service accordingly and Section 16 treats the demand exposure separately.

The ramp

A new station does not open at steady state. This model applies 50.0% of steady-state volume in year one, 75.0% in year two and full volume from year three, after which 6.0% annual growth is applied. The market's own implied per-port growth rate is 10.8% — national session volume grew 29% year on year against station-count growth of 16.4%. The model uses roughly half of that.



13

REVENUE PROJECTION METHODOLOGY

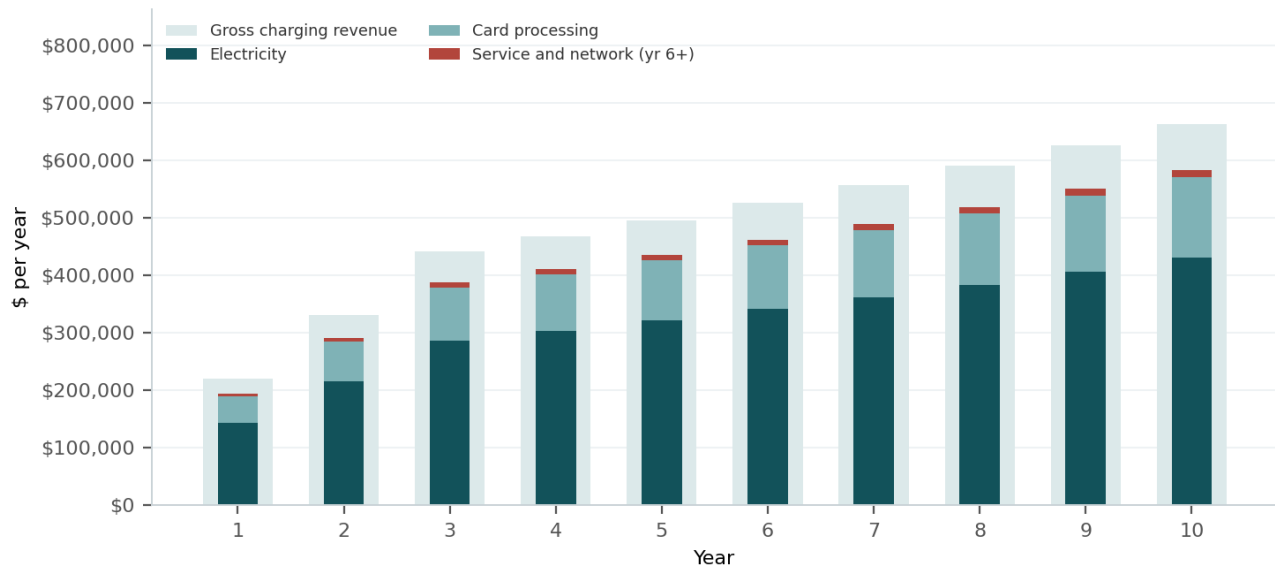
How gross revenue becomes operating profit

Four deductions separate what a driver pays from what the site keeps. Each is modelled explicitly rather than folded into a margin assumption.

Line	Basis	Rate applied	Treatment
Gross charging revenue	Energy dispensed x retail price	\$0.650/kWh	Revenue
Electricity cost	Energy dispensed x all-in delivered cost	\$0.2095/kWh	Deducted every year
Card processing	Percentage of gross revenue	3%	Deducted every year
Service, warranty and network	Included in the price for years 1 to 5	\$43,031/yr from year 6	Deducted from year 6 only
Charging profit	Gross less the three deductions above	—	Carried to the cashflow

The year-six step

Five years of service, extended warranty and EVOLV platform coverage are included in the project price. From year six those costs become an operating expense of \$43,031 per year. This proposal deducts them. A projection that shows ten years of revenue while pricing only five years of coverage is overstating the back half of the horizon, and the step down visible between year five and year six in the chart below is that cost appearing, not demand falling.



Gross charging revenue against the three deductions, by year. The pale bar is gross revenue; the stacked bar is the cost of earning it. The gap is charging profit.

Key modelling assumptions



Assumption	Value	Comment
Retail price to driver	\$0.650/kWh	15.5% above the California average of \$0.606
All-in electricity cost	\$0.2095/kWh	SCE TOU-EV-9, time-of-use weighted — see Section 15
Gross spread	\$0.4405/kWh	Before card processing and service cost
Card processing fee	3%	Industry standard for card-present EV transactions
Stall occupancy	20.0%	Share of positions occupied at any moment
Chargeable hours share	25.0%	Of a 24-hour open day
Charging-curve taper	70.0%	Average delivered power as a share of port rating
Year 1 / year 2 ramp	50.0% / 75.0%	Full volume from year 3
Growth after ramp	6.0%	Market implied rate is 10.8%
Analysis horizon	10 years	Matches the LCFS crediting period
Discount rate	8.39%	Set equal to the financing rate

14

CARBON CREDITS AND ENVIRONMENTAL VALUE

Fast Charging Infrastructure capacity credits

California's Low Carbon Fuel Standard includes a Fast Charging Infrastructure pathway that issues credits on installed DC fast-charging capacity rather than on energy dispensed. This is the distinction that matters for a new site: FCI capacity credits are earned on nameplate capacity and demonstrated uptime, so they begin at full value from the first year of operation and do not wait for a driver base to develop.

Parameter	Value	Basis
Qualifying capacity	1,468.8 kW	Connected DC fast-charging capacity
Credit rate	\$71.6667 per kW per year	Modelled rate — confirm with the aggregator
Gross credit per year	\$103,200.05	Capacity x rate
Third-party administration	(\$5,160.00) per year	5% of proceeds
Net credit per year	\$98,040.05	What reaches the site
Crediting period	10 years	Matches the analysis horizon
Gross credit over the period	\$1,032,000.48	
Administration over the period	(\$51,600.02)	
Net credit over the period	\$980,400.46	

The capacity cap

The FCI pathway caps cumulative credits at 1.5 times the net capital expenditure on the qualifying infrastructure. Net capital expenditure here is \$952,404.35, giving a cap of \$1,428,606.52. Gross credits across the crediting period total



\$1,032,000.48. The cap therefore **does not bind** — full period available. The full crediting period is available to this project.

Credit administration

LCFS credit registration, quarterly reporting and credit sale are performed by a registered third-party aggregator, not by Zero Impact Energy. The aggregator retains 5% of proceeds for that service. This proposal discloses that cost so the net figure is honest, but it is not a Zero Impact Energy line item and no part of it is retained by us. Zero Impact Energy's role is to ensure the installation is registered correctly and that uptime reporting is available from the EVOLV platform, because uptime is a condition of the credit.

UPTIME IS A CONDITION OF THIS CREDIT, AND THE RISK SITS WITH THE SITE. FCI capacity credits are conditional on demonstrated availability. A cabinet that is offline is not merely losing charging revenue — it is losing its share of \$98,040 per year in credit as well. That exposure belongs to the site owner as the owner of the asset; Zero Impact Energy offers no guarantee of charger availability and none is assumed here. What the project does about it is fund 5 years of warranty and service inside the capital price and provide platform-side fault detection and the availability record the programme requires. Section 9 sets out precisely what is and is not committed.

Environmental impact

Measure	Steady state per year	Over the horizon
Clean energy dispensed	441,327 kWh	4,919,683 kWh
Approximate gasoline displaced	13,579 gal	151,375 gal
Charging positions provided	12	Continuous over the horizon

Gasoline displacement is indicative, converted at approximately 32.5 kWh per gallon-equivalent for a typical light-duty battery electric vehicle. It is not a credited figure and is shown for context only.

15

ELECTRICITY COST AND TARIFF BASIS

Rate schedule

A dedicated EV meter is what qualifies the site for Southern California Edison's commercial EV rate schedules and for Rule 29 treatment. At 1,468.8 kW of connected load this site falls above the 500 kW threshold and takes **TOU-EV-9**, SCE's commercial EV schedule for dedicated-meter loads above 500 kW.

Parameter	Basis
Serving utility	Southern California Edison
Rate schedule	TOU-EV-9 — dedicated EV meter, above 500 kW
Metering	Separate EV meter, distinct from the hotel house meter
Demand charges	Facilities-related demand charges currently suspended — see Section 16
Time-of-use periods	On-peak 4 pm to 9 pm weekdays; super off-peak 8 am to 4 pm in March, April and May

Time-of-use weighting used in the model



Period	Share of energy dispensed	Rate used \$/kWh	Weighted contribution
On-peak	30%	\$0.340	\$0.1020
Off-peak	55%	\$0.160	\$0.0880
Super off-peak	15%	\$0.130	\$0.0195
Blended volumetric	100%		\$0.2095
Demand subscription	—	—	\$0.0000
All-in delivered cost			\$0.2095

DISCLOSURE — THE ENERGY RATES ABOVE ARE NOT YET VERIFIED. SCE publishes the TOU-EV-7, TOU-EV-8 and TOU-EV-9 schedules and their time-of-use period definitions, but its public rate fact sheet shows relative price bands rather than dollar figures and directs readers to the CPUC-approved tariff books for the actual \$/kWh. The rates in the table above are therefore carried as a **placeholder** pending confirmation against the SCE tariff book or a written rate quotation. They have not been invented to make the model work, and they are not presented as verified. Section 23 carries this as an open item, and it should be closed before this proposal is converted into a definitive agreement.

What the rate assumption is worth

At steady state the site dispenses 441,327 kWh per year. Every one cent per kWh of error in the delivered electricity cost is therefore worth roughly \$4,413 per year, or \$44,133 across the horizon before growth. The gross spread carried in this model is \$0.4405/kWh between the retail price of \$0.650 and the all-in delivered cost of \$0.2095. That spread is the project. It is worth the effort of confirming the tariff precisely rather than accepting the placeholder.

16

DEMAND CHARGE EXPOSURE AND SENSITIVITY

Continuation of Section 15

The position today

Demand charges are the single largest risk to the operating economics of any DC fast-charging site, because a charging load is spiky by nature — a few minutes of simultaneous high-power draw can set a monthly demand peak that is billed regardless of how much energy was actually sold. This model carries **zero** demand cost, and that requires explanation rather than silence.

SCE's own rate fact sheet for TOU-EV-8 and TOU-EV-9, in its July 2025 revision, states that facilities-related demand charges on these schedules are “not applicable until determined and authorized by the Commission.” There is no published resumption date. The zero in this model is therefore correct as of the date of this proposal, but it is a suspension rather than an exemption, and it can end inside the ten-year horizon.

Peak demand this site would present

Measure	Value	Basis
Connected nameplate	1,468.8 kW	All equipment at rated power simultaneously
Expected peak concurrency	4 positions	Realistic simultaneous DC sessions at this site
Peak draw at that concurrency	705.6 kW	4 x 176.4 kW



Measure	Value	Basis
Demand cost carried in this model	\$0 per year	FRD suspended pending CPUC authorisation

Sensitivity if facilities-related demand charges resume

The table below is arithmetic on this site's own peak draw of 705.6 kW. It is not a forecast of what SCE will charge, because no rate has been authorised. It shows what each dollar per kilowatt-month would cost this project, so the exposure can be sized rather than guessed at.

FRD rate \$/kW-month	Annual cost	As % of year-10 charging profit	Effect on 10-yr net return if applied from year 6
\$1.00	\$8,467	3.6%	-\$42,336
\$2.00	\$16,934	7.2%	-\$84,672
\$5.00	\$42,336	17.9%	-\$211,680
\$10.00	\$84,672	35.8%	-\$423,360
\$15.00	\$127,008	53.7%	-\$635,040
\$20.00	\$169,344	71.7%	-\$846,720

HOW THIS IS MANAGED IF IT ARRIVES. Three levers exist. First, the EVOLV platform can cap simultaneous output so the site never sets a peak above a chosen ceiling — trading a small amount of session speed for a fixed demand exposure. Second, charging can be steered toward the super off-peak window by price. Third, on-site storage can absorb the peak, and storage remains eligible for the federal investment tax credit under IRC section 48E as a standalone asset. None of these are in the scope or the price of this proposal; they are the response if and when the Commission authorises the charge.



PART FOUR

DELIVERY

How it gets built, connected and commissioned

17	Electrical Design and Service Sizing
18	Utility Interconnection — SCE Rule 29
19	Civil, Site and ADA Scope
20	EVOLV Software and Payment Operations
21	Project Delivery Plan and Schedule

17

ELECTRICAL DESIGN AND SERVICE SIZING

Service sizing from first principles

The service is sized from the connected load, not from a rule of thumb. Each step is shown so the result can be checked by the client's own engineer.

Step	Calculation	Result
Connected load	4 cabinets x 360 kW + 4 Level 2 positions	1,468.8 kW
Design current	$1,468.8 \text{ kW} \times 1000 / (480 \text{ V} \times \sqrt{3})$	1,766.7 A
Continuous-load factor	NEC 125% for continuous loads	2,208.4 A
Standard frame selected	Next standard frame at or above the required OCPD	3,200 A
Branch protection	Per DC cabinet	600 A

WHY THE SERVICE IS SIZED ON RATED POWER, NOT AVERAGE POWER. Section 12 applies a 70.0% charging-curve taper to energy, because a vehicle does not draw full power for the whole session. The taper does not apply here. A vehicle arriving at a low state of charge draws the full 176.4 kW, and the service, the switchgear and the overcurrent protection must carry that instantaneous demand. Sizing a service on average power is how installations end up unable to run all their chargers at once.

Main distribution switchgear

The 3,200 A main distribution switchboard is the largest single construction line in this project at \$168,381.96. It is not taken from the charger price book — the price book covers charging equipment, warranties and service only, and contains no electrical distribution gear. The switchboard, the main breaker, the metering section and the branch devices are costed independently, using a power-law cost curve fitted to published 480 V switchgear pricing across frame sizes. That basis and the resulting build-up are shown on the Materials_Basis tab of the project model, which accompanies this proposal.

Conductor and conduit scope carried

Item	Quantity carried
Feeder conductor, 250 KCMIL copper	2,640 ft
Equipment ground, 2 AWG copper	880 ft



Item	Quantity carried
Conduit, 2-1/2 in PVC	880 ft
Communications conduit, 3/4 in PVC	440 ft
Service feeder, 750 KCMIL aluminium	400 ft
Level 2 branch wiring and conduit	Allowance carried
Peripherals — hardware, anchors, forms, scans, consumables	Allowance carried

Quantities are stated so that any variance found at the site walk is visible rather than absorbed. Prices for electrical and civil materials are inclusive of freight, installation and contingency.



18

UTILITY INTERCONNECTION — SCE RULE 29

The interconnection pathway

This is a new, separately metered EV service. Southern California Edison publishes Electric Rule 29, which governs electrical distribution infrastructure and service extensions for electric-vehicle charging at non-residential sites. Rule 29 places most of the extension cost on the utility rather than on the customer, which materially changes the economics of a greenfield charging site and is the reason the interconnection line in this proposal is small.

What SCE designs, builds and pays for

SCE scope under Rule 29
Design, engineering and installation of the EV service extension from the distribution line to the service delivery point
Excavation, trenching, backfill and permit fees for that extension
Conduit and substructures
Transformers and protective equipment
Meters and metering equipment
Poles, where the service is overhead

What the customer bears, and what is in this price

Item	In this price?	Amount	Treatment
Rule 29 design fee	Yes	\$3,500.00	Named allowance. Trues up when SCE issues the design. Rule 29 carries no published flat design fee; this is a budget placeholder.
Service entrance conductors and conduit	Yes	\$29,236.14	In the wires and conduits line
Meter socket, breakers, fuses, relays	Yes	\$2,055.31	In the switchgear build-up
All EV charging equipment	Yes	\$341,405.90	In the hardware line
Rule 15 distribution line extension	NO — EXCLUDED	—	Triggered only if SCE must extend or reinforce distribution. A Rule 15 allowance is then calculated and any excess is a customer contribution. Not knowable before the utility design.
Rule 16 service extension component	NO — EXCLUDED	—	Applies to temporary or speculative service. Same trigger and same treatment.
ITCC — income tax component of contribution	NO — EXCLUDED	—	State and federal tax gross-up on any customer contribution to utility-owned plant. Only arises if Rule 15/16 money changes hands.
Environmental studies, easements, rights of way	NO — EXCLUDED	—	Site specific. None identified at this stage.
Transformer pad space on the premises	Client provides	—	Space obligation, not a cost line



WHAT IS EXCLUDED, STATED PLAINLY. Utility distribution work under SCE Electric Rules 15 and 16, and any Income Tax Component of Contribution arising from it, are excluded. SCE designs and constructs the EV service extension under Rule 29; the allowance carried here is for design and application only and trues up against the issued utility design.

Ongoing obligations that come with Rule 29 service

Obligation
Activate the charging stations within 30 business days of energization, and in no case later than 180 business days.
Maintain and operate the stations for five years, remedying faults within 90 days.
Provide proof of commitment to purchase — a purchase order, budget approval or grant agreement — with the application.
Service may be discontinued if the stations are not maintained or sit non-functional for a year. No refunds apply to EV service extension work.

The \$3,500.00 carried for Rule 29 is a design and application allowance, not a quoted fee. SCE does not publish a flat design charge under Rule 29; the actual figure is established when the utility issues its design. Carrying it as a named allowance rather than a silent zero means the line is visible and trues up transparently. Sites enrolled in SCE's Charge Ready programme are excluded from Rule 29 — Charge Ready is addressed in Section 22.

19

CIVIL, SITE AND ADA SCOPE

Site works carried in this price

Item	Quantity carried	Purpose
Concrete	42 cubic yards	Charger foundations, switchgear pad, bollard footings
Rebar	16 each	Foundation reinforcement
Steel mesh	2 rolls	Slab reinforcement
Asphalt and paving	170 sq ft	Trench repair and surface reinstatement
Striping	0.4 lot	Stall marking and directional striping
ADA stalls	3 each	Accessible charging positions
ADA ramp	1 each	Accessible route to the charging positions
Bollards	14 each	Equipment protection from vehicle strike
Signage	8 signs, 4 posts	Wayfinding, ADA, and equipment identification
Switchgear sign	1 each	Utility and code required identification
GPR scan	1 each	Subsurface obstruction detection before trenching
GFI test	1 each	Commissioning verification
Dump and disposal	1 lot	Spoil, packaging and construction waste

Accessibility



California requires accessible EV charging spaces in defined ratios based on the total number of charging spaces provided. This scope carries three accessible stalls and one accessible ramp, with the accessible route, signage and striping that go with them. The final count and configuration are set at plan check by the authority having jurisdiction, and the scope is written to that expectation rather than to a minimum.

Accessibility on a hotel forecourt is not only a code matter. A guest who cannot reach a charger from an accessible route cannot use the amenity they booked for, and the complaint lands on the property rather than on the equipment supplier. The layout is worth reviewing with the property's own operations team before it is fixed at plan check.

Guest experience considerations

Consideration	Approach in this scope
Lighting	Existing site lighting assumed adequate; a photometric review is available if the property wants one
Cable management	Level 2 units mounted on retractor posts to keep cables off the walking surface
Wayfinding	Signage carried from the street frontage through to the charging positions
Stall turnover	EVOLV supports idle-time policy if the property later wants to enforce it
Vehicle protection	Bollards at every charging position and at the switchgear

20

EVOLV SOFTWARE AND PAYMENT OPERATIONS

Platform scope

Every charging position is connected to the EVOLV platform for the first 5 years, included in the project price. EVOLV is billed per **port**, not per cabinet, at \$39.99 per port per month — 12 ports on this site. This is worth stating explicitly because proposals that price network service per cabinet understate the cost of a dual-port installation by half.

Capability	What it does for the property
Pricing control	Set and change \$/kWh, session fees and time-of-day pricing without a site visit
Driver payment	Card-present payment at the charger and in-app payment; settlement to the property
Session data	Energy, duration, connector and revenue per session, exportable
Availability logging	The uptime record LCFS capacity credits are conditional on, kept platform-side
Remote diagnostics	Fault identification and, in many cases, remote reset without a truck roll
Load management	Caps simultaneous output — the first lever if demand charges resume
Access control	Public, guest-only, or validated access by charging position
Guest integration	Charging can be presented as a property amenity, validated at the front desk

Payment and settlement

Driver payments are collected at the point of sale and settled to the property net of the card processing fee, which this model carries at 3% of gross revenue. Pricing is set by the property, not by Zero Impact Energy. The \$0.650 per kWh carried throughout this proposal is a modelling assumption benchmarked against the California average of \$0.606; the property can price above or below it at any time, and the model that accompanies this proposal will recompute the whole ten-year



projection from a changed price.

After year five

EVOLV platform access continues on an annual basis after the included 5-year term. That renewal cost is part of the \$43,031 per year carried from year six in the revenue model, together with service and extended warranty. It is not an unpriced surprise arriving in year six; it is already deducted in Appendix B.

21

PROJECT DELIVERY PLAN AND SCHEDULE

Delivery approach

Zero Impact Energy delivers this project on a single-source basis: design, equipment procurement, electrical construction, civil works, utility coordination, commissioning and platform activation are all in one contract with one point of responsibility. The client is not left coordinating a supplier, a contractor and a utility against one another.

Phase	Activities	Indicative duration
1 — Award and mobilisation	Contract execution, deposit, project kick-off, site walk with the electrical contractor	2 to 3 weeks
2 — Design and engineering	Electrical design, single-line, site plan, ADA layout, structural details, permit set	4 to 6 weeks
3 — Utility application	SCE Rule 29 application, load letter, utility design, point of delivery agreement	8 to 16 weeks, utility-dependent
4 — Permitting	AHJ submission, plan check, corrections and permit issue	4 to 10 weeks, runs in parallel with phase 3
5 — Procurement	Equipment order, switchgear release, long-lead items	10 to 16 weeks from release
6 — Construction	Trenching, conduit, conductor, foundations, switchgear set, equipment set	4 to 6 weeks
7 — Utility connection	SCE service connection, meter set, energisation	Utility-scheduled
8 — Commissioning	Start-up, GFI testing, EVOLV activation, LCFS registration, handover training	1 to 2 weeks

THE SCHEDULE DRIVER IS THE UTILITY, NOT THE CONTRACTOR. On a new separately metered service, the critical path is almost always SCE's design and energisation timeline, not construction. Phases 3 and 5 run concurrently and together set the delivery date. Submitting the Rule 29 application early — immediately after award, rather than after the permit set is complete — is the single most effective thing the project can do to protect the schedule. Durations above are indicative and are not a contractual commitment; a firm programme is issued at award once the utility has acknowledged the application.

Hospitality-specific delivery considerations

Consideration	Approach
Guest disruption	Construction sequenced to keep the porte-cochere and primary access open throughout
Parking loss	Work zone phased so that stall closures are partial rather than lot-wide



Consideration	Approach
Noise	Trenching and coring scheduled to daytime hours and away from guest-room elevations where practical
Occupancy peaks	Programme can be sequenced around the property's known high-occupancy periods on request



PART FIVE

COMMERCIAL

Incentives, risk and the terms of acceptance

22	Incentives and Tax Treatment
23	Risks, Open Items and How They Are Handled
24	Terms, Proposal Validity and Acceptance

22

INCENTIVES AND TAX TREATMENT

What is and is not available to this project

This section is written to prevent a common disappointment. EV charging incentives changed materially in 2026 and several programmes that appear in older proposals are no longer open. Each is addressed below with its actual status.

Programme	Status for this project	Effect on the model
IRC §30C alternative fuel refuelling property credit	Not available. The credit terminated for property placed in service after 30 June 2026.	No credit claimed
SCE Charge Ready	Closed. SCE is no longer accepting applications, and agreements had to be fully signed by 31 December 2026. Rule 29 also excludes Charge Ready participants.	Not assumed
SCE Rule 29 utility-funded infrastructure	Available and assumed. SCE designs, builds and pays for the utility-side extension.	Reflected in the low interconnection line
LCFS FCI capacity credits	Available and assumed. Registration through a third-party aggregator.	\$98,040 per year net
IRC §48E investment tax credit	Available for standalone energy storage only. No storage is in this scope.	Not claimed; relevant only if storage is added
Depreciation — bonus and MACRS	100% federal bonus depreciation is permanent for property placed in service after 19 January 2025. California does not conform.	Modelled below and on the Tax_Strategies tab — not in the return figures
State and local grants	None identified as open and applicable at the date of this proposal.	Not assumed

ON GRANTS AND THE CARBON CREDIT CAP — A WARNING WORTH READING. Capital grants are not automatically beneficial on a project that earns FCI capacity credits. The credit is capped at 1.5 times **net** capital expenditure, and a grant reduces net capital expenditure. On a project of this size a grant can therefore cost more in forgone carbon credit than it contributes in cash. Before accepting any grant award, the net effect should be tested in the project model. Zero Impact Energy will run that test on request; the model that accompanies this proposal is built to do it.

Depreciation — modelled separately, deliberately not banked

Depreciation is the one item on this list that is likely to be worth real money to the client, and it is the one the model refuses to take credit for. The One Big Beautiful Bill Act made 100% first-year bonus depreciation permanent for qualified property acquired and placed in service after 19 January 2025. Property with a recovery period of 20 years or less qualifies, which on this project covers both the charging equipment and the site improvements.



Measure	Amount	Note
Estimated depreciable basis	\$794,167.04	Of \$952,404.35 project cost. Service, warranty and network are not capital.
— recovered over 5 years	\$692,823.46	Charging equipment and dedicated distribution gear
— recovered over 15 years	\$101,343.58	Site improvements and site utilities
Federal year-one saving with bonus	\$166,775.08	At a 21% federal rate. A deferral of tax, not a reduction in cost
Present value, federal	\$153,865.74	Discounted at the project rate
Present value, California	\$54,296.65	At 8.84%. California does not conform to bonus — MACRS only
Present value, combined	\$208,162.39	21.9% of the project cost
Value of electing bonus over MACRS	\$24,880.48	The timing gain alone. Total tax saved is identical either way

WHY THIS IS NOT IN THE RETURN FIGURES. Every return figure in this proposal — the \$1,884,029.56 net return, the \$865,720.38 net present value, the 24.4% internal rate of return — is computed **pre-tax**. The depreciation figures above depend entirely on the client's own tax position: entity type, marginal rates, whether there is taxable income to absorb the deduction, and prior elections. None of that is knowable to us, and a proposal that banks a benefit it cannot control is a proposal that breaks. The full analysis sits on the **Tax Strategies** tab of the project model, isolated from every other calculation, with the assumptions exposed as inputs the client's CPA can change.

Tax advice

Zero Impact Energy is not a tax advisor and nothing in this section is tax advice. Depreciation treatment, credit eligibility and the interaction between grants, credits and basis are matters for the client's own tax counsel and accountants, whose advice should be obtained before the commercial structure is settled.



23

RISKS, OPEN ITEMS AND HOW THEY ARE HANDLED

Open items to close before a definitive agreement

Every proposal has open items. Listing them is not a weakness in the proposal; concealing them is a weakness in the proposer. Each item below is stated with its effect and the action that closes it.

Open item	Effect if it moves	How it closes
SCE energy rates are a placeholder	Each cent per kWh is worth about \$4,413 a year at steady state. The whole project is the \$0.4405 spread.	Confirm against the SCE tariff book or obtain a written rate quotation before contract
Facilities-related demand charges	Suspended today. If authorised, each \$1/kW-month costs about \$8,467 a year at this site's peak.	Monitor CPUC authorisation. Mitigation levers set out in Section 16
LCFS FCI credit rate	Modelled at \$71.6667/kW/yr. This stream is 34.6% of total return.	Confirm in writing with the registered aggregator, including the term of the rate
Switchgear pricing	The 3,200 A switchboard is the largest construction line. It is extrapolated from a cost curve, not quoted.	Obtain a vendor quotation at award and true up
Site walk not yet performed	Feeder run length, trench medium and subsurface obstructions are the three quantities that move the price.	Site walk with a licensed electrical contractor immediately after award
SCE design and energisation timeline	The critical path for the delivery date, and outside contractor control.	Submit the Rule 29 application immediately after award, before the permit set is complete
Utility application and Rule 15/16 trigger	Excluded by name. Only knowable once SCE issues its design.	SCE design issue. Any contribution is quoted as a change, not absorbed
Connector configuration	Settled — native NACS and CCS1 on every DC position, no CHAdeMO.	Confirm on the purchase order; a change after installation is a field retrofit

Risks inherent to the business case

Risk	Position taken in this model
Utilisation below projection	The model already runs at 5.0% port utilisation against a California average of 23.1%. The projection is set to be beaten.
Competing sites opening nearby	National session volume grew 29% year on year against station growth of 16.4% — demand has been outrunning supply. The model uses roughly half the market's implied per-port growth.
Retail price pressure	Modelled at \$0.650/kWh, 15.5% above the state average. Price is a lever the property controls and can lower without a site visit.
Equipment downtime	Retained by the client. Five years of warranty and service are funded inside the capital price, but no availability guarantee is offered — see Section 9. Downtime costs charging revenue and puts \$98,040 a year of capacity credit at risk.
Technology obsolescence	Cabinets ship with native NACS and CCS1 cables, the two standards the North American fleet is consolidating on. The power modules, not the connectors, are the long-lived asset.
Grant awards reducing carbon credit	Deliberately not assumed. Any grant should be tested in the model first — see Section 22.



24

TERMS, PROPOSAL VALIDITY AND ACCEPTANCE

Non-binding proposal disclaimer

This proposal is issued for evaluation, budgeting and scope-alignment purposes unless expressly incorporated into a definitive agreement. Pricing, schedule, incentives and projections are based on the information and assumptions identified in this document and may change following final engineering, site investigation, utility review, permitting, equipment availability, financing approval or other project-development findings. No contractual obligation arises until authorised representatives execute the applicable agreement, statement of work and commercial terms.

Revenue and incentive disclaimer

Utilisation, revenue, energy cost, uptime, environmental credits and payback are projections rather than guarantees. Actual results will depend on driver demand, pricing, equipment availability, utility rates, operations, programme rules and other factors outside Zero Impact Energy's control. The SCE energy rates used in this document are expressly identified as unverified placeholders in Section 15 and Section 23. The client should obtain independent tax, legal and accounting advice.

No service level agreement on availability

Zero Impact Energy offers no service level agreement, warranty or representation as to charger uptime, station availability, session success rate, energy dispensed or revenue. The only availability commitment offered is on the EVOLV platform, on the terms and within the limits set out in Section 9, and its sole remedy is a pro-rata credit against the platform fee for the affected month. Liability for lost charging revenue, lost environmental credit, lost goodwill and all other indirect or consequential loss is expressly excluded. Nothing elsewhere in this proposal, including any projection, response target or statement about service coverage, creates an availability obligation.

Basis of pricing

Pricing is valid for 30 days from the date of issue and is based on current equipment costs, current material pricing and the quantities stated in Section 7. The 3,200 A switchgear line is extrapolated from a cost curve rather than quoted, and the SCE Rule 29 line is a design and application allowance rather than a fee. Both true up transparently against actual quotation and actual utility design. Sales tax is computed on the discounted equipment price and is stated as a separate line.

Basis of this revision

This is revision 1.0, the first issue of this proposal for this site. Every figure is computed from the Best Western Plus Hawthorne project model, engine version 2.1.0, revision C, which accompanies this document. That model carries its own version control: an assumption fingerprint that records the driver set used to produce these numbers, and a set of live integrity checks. If any figure in this proposal is questioned, the model can be opened and the derivation followed from the input to the output.

Next steps

Step	Action	Owner
1	Confirm configuration, connector standard and Level 2 count	Client
2	Confirm SCE energy rates against the tariff book	Zero Impact Energy
3	Confirm LCFS credit rate with the registered aggregator	Zero Impact Energy
4	Site walk with a licensed electrical contractor	Joint



Step	Action	Owner
5	Execute the definitive agreement and issue notice to proceed	Client
6	Submit the SCE Rule 29 application	Zero Impact Energy

Acceptance to proceed to definitive agreement

Field	Entry
Client legal name	Mohammad Noorali
Title	
Signature	
Date	

This acknowledgment confirms the client's intent to proceed with final scope development and contract preparation. It is not a notice to proceed unless expressly stated in the definitive agreement.



PART SIX

APPENDIX

Supporting detail for the analyst

A	Project Information and Basis
B	Ten-Year Revenue Detail
C	Consolidated Ten-Year Cashflow
D	Sixty-Month Financing Schedule

A

PROJECT INFORMATION AND BASIS

Purpose

Zero Impact Energy is pleased to submit this proposal for the design, supply, construction and commissioning of a new electric-vehicle charging facility at the Best Western Plus Hawthorne. The document sets out the proposed configuration, the electrical and civil scope, the basis on which revenue has been projected, the utility interconnection pathway, and the commercial terms. It is written to be read in full by a decision-maker rather than skimmed: every projection states the assumption behind it, and every assumption that cannot yet be verified is identified as such.

Project information

Field	Detail
Client	Best Western Plus Hawthorne
Site address	15000 Hawthorn Blvd, Hawthorne, CA 90260
Primary contact	Mohammad Noorali
Serving utility	Southern California Edison (SCE)
Proposed rate schedule	TOU-EV-9 — dedicated EV meter, above 500 kW
Site access	Public access, 24 hours a day, 7 days a week
Existing charging equipment	None — greenfield installation
Proposed DC cabinets	4 x 360 kW dual-port
Proposed DC positions	8 at 176.4 kW each
Proposed Level 2 positions	4 at 7.06 kW each
Total connected load	1,468.8 kW
New service size	3,200 A, 480 V three-phase, separately metered
Analysis horizon	10 years
Proposal date	August 26, 2026
Proposal validity	30 days from the date of issue

Why this site

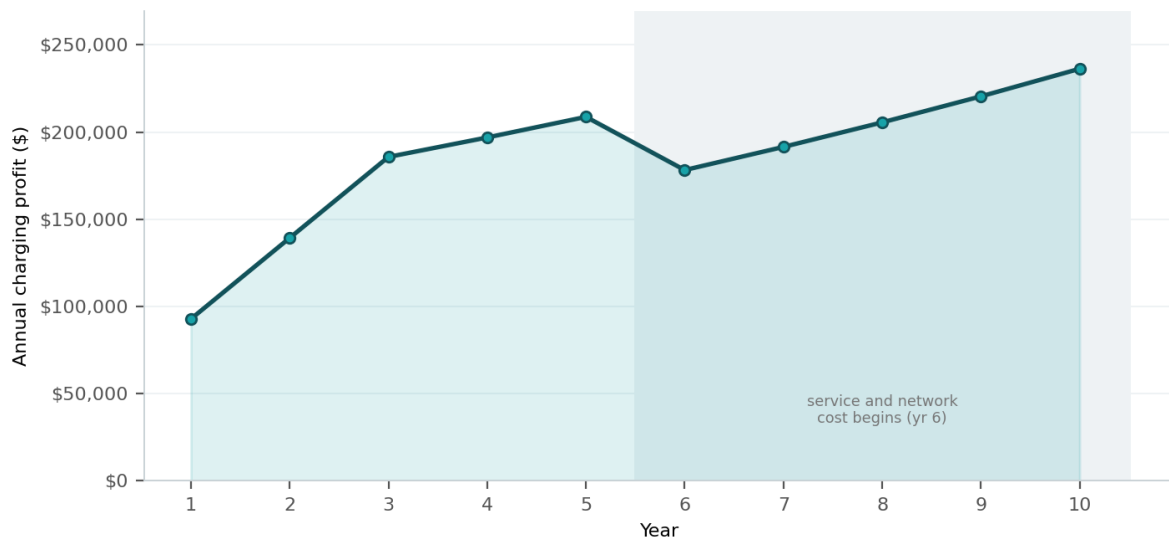


Hawthorne sits inside the densest EV corridor in the United States. California carries 17,374 DC fast-charging ports in service, more than any other state, and records the second-highest port utilisation in the country at 23.1% against a national average of 15.8%. The property fronts a signalised arterial with direct access, has surface parking under single ownership, and operates around the clock — the three conditions that separate a charging site that earns from one that sits idle. A hotel forecourt also solves the problem most retail sites have, which is that the site closes at night while the vehicles do not.

A NOTE ON WHAT IS NOT HERE. This site has no operating history. There is no meter data, no session log and no revenue record to extrapolate from, because there is nothing installed. Every projection in this document is therefore built from published market data for the state and the segment, not from site experience, and Section 11 shows exactly which numbers were used and how far below the market the model was set.

**B****TEN-YEAR REVENUE DETAIL***Continuation of Section 13*

Yr	Ramp	kWh dispensed	Gross revenue	Electricity	Card fees	Service and network	Charging profit
1	50%	220,664	\$143,431	\$46,229	\$4,303	—	\$92,899
2	75%	330,996	\$215,147	\$69,344	\$6,454	—	\$139,349
3	100%	441,327	\$286,863	\$92,458	\$8,606	—	\$185,799
4	106%	467,807	\$304,075	\$98,006	\$9,122	—	\$196,947
5	112%	495,875	\$322,319	\$103,886	\$9,670	—	\$208,764
6	119%	525,628	\$341,658	\$110,119	\$10,250	\$43,031	\$178,259
7	126%	557,166	\$362,158	\$116,726	\$10,865	\$43,031	\$191,536
8	134%	590,596	\$383,887	\$123,730	\$11,517	\$43,031	\$205,610
9	142%	626,031	\$406,920	\$131,154	\$12,208	\$43,031	\$220,529
10	150%	663,593	\$431,336	\$139,023	\$12,940	\$43,031	\$236,342
All		4,919,683	\$3,197,794	\$1,030,674	\$95,934	\$215,153	\$1,856,033



Annual charging profit. The dip between year five and year six is the service and network cost beginning, not a fall in demand.

Reading this table

Charging operations produce \$1,856,033 of cumulative operating profit across the 10-year horizon on 4,919,683 kWh dispensed. Steady state is reached in year three at \$185,799. The year-six figure of \$178,259 is lower than year five because \$43,031 of service and network cost enters the model at that point; underlying demand continues to grow at 6.0% throughout. Charging profit is only one of the two return streams — carbon credits are addressed in Section 14 and the two are combined in Appendix C.



C

CONSOLIDATED TEN-YEAR CASHFLOW

Continuation of Appendix C

Year	Charging profit	Carbon credit, net	Net cashflow	Cumulative position
0	—	—	-\$952,404	-\$952,404
1	\$92,899	\$98,040	\$190,939	-\$761,465
2	\$139,349	\$98,040	\$237,389	-\$524,076
3	\$185,799	\$98,040	\$283,839	-\$240,237
4	\$196,947	\$98,040	\$294,987	\$54,750
5	\$208,764	\$98,040	\$306,804	\$361,554
6	\$178,259	\$98,040	\$276,299	\$637,852
7	\$191,536	\$98,040	\$289,576	\$927,429
8	\$205,610	\$98,040	\$303,650	\$1,231,079
9	\$220,529	\$98,040	\$318,569	\$1,549,647
10	\$236,342	\$98,040	\$334,382	\$1,884,030

How to read this

Year zero is the turnkey project cost of \$952,404.35 shown as an outflow. Charging profit begins at 50.0% of steady state in year one and reaches full volume in year three. Carbon credit revenue of \$98,040 is constant across the crediting period because it is paid on installed capacity rather than on energy dispensed. The cumulative column turns positive during year 4.

Two structural points are worth noting. The first is that carbon credits contribute 34.6% of total return across the horizon while carrying none of the utilisation risk — if driver demand disappoints, that portion of the return is unaffected. The second is that the horizon ends at year ten because the LCFS crediting period ends at year ten. The charging asset itself continues to operate and earn beyond that point; the model simply stops taking credit for it.

WHAT IS NOT IN THESE FIGURES. No federal investment tax credit is claimed on the charging equipment — see Section 22 for why. No state or utility grant is assumed. No idle or dwell fee revenue is modelled. No residual value is taken at year ten. Each of these could improve the outcome; none of them is relied upon to reach it.

**D****SIXTY-MONTH FINANCING CASHFLOW —
MONTHS 1 TO 30***Appendix to Section 8*

Pmt	Opening balance	Payment	Interest	Principal	Closing balance
1	\$952,404	\$19,490	\$12,831	\$6,659	\$939,574
2	\$939,574	\$19,490	\$12,920	\$6,569	\$926,653
3	\$926,653	\$19,490	\$13,011	\$6,479	\$913,643
4	\$913,643	\$19,490	\$13,102	\$6,388	\$900,541
5	\$900,541	\$19,490	\$13,193	\$6,296	\$887,348
6	\$887,348	\$19,490	\$13,286	\$6,204	\$874,062
7	\$874,062	\$19,490	\$13,378	\$6,111	\$860,684
8	\$860,684	\$19,490	\$13,472	\$6,018	\$847,212
9	\$847,212	\$19,490	\$13,566	\$5,923	\$833,645
10	\$833,645	\$19,490	\$13,661	\$5,829	\$819,984
11	\$819,984	\$19,490	\$13,757	\$5,733	\$806,228
12	\$806,228	\$19,490	\$13,853	\$5,637	\$792,375
13	\$792,375	\$19,490	\$13,950	\$5,540	\$778,426
14	\$778,426	\$19,490	\$14,047	\$5,442	\$764,379
15	\$764,379	\$19,490	\$14,145	\$5,344	\$750,233
16	\$750,233	\$19,490	\$14,244	\$5,245	\$735,989
17	\$735,989	\$19,490	\$14,344	\$5,146	\$721,645
18	\$721,645	\$19,490	\$14,444	\$5,046	\$707,201
19	\$707,201	\$19,490	\$14,545	\$4,945	\$692,656
20	\$692,656	\$19,490	\$14,647	\$4,843	\$678,009
21	\$678,009	\$19,490	\$14,749	\$4,740	\$663,260
22	\$663,260	\$19,490	\$14,852	\$4,637	\$648,408
23	\$648,408	\$19,490	\$14,956	\$4,533	\$633,452
24	\$633,452	\$19,490	\$15,061	\$4,429	\$618,391
25	\$618,391	\$19,490	\$15,166	\$4,324	\$603,225
26	\$603,225	\$19,490	\$15,272	\$4,218	\$587,953
27	\$587,953	\$19,490	\$15,379	\$4,111	\$572,574
28	\$572,574	\$19,490	\$15,486	\$4,003	\$557,088
29	\$557,088	\$19,490	\$15,595	\$3,895	\$541,493
30	\$541,493	\$19,490	\$15,704	\$3,786	\$525,790



D

SIXTY-MONTH FINANCING CASHFLOW — MONTHS 31 TO 60

Appendix to Section 8

Pmt	Opening balance	Payment	Interest	Principal	Closing balance
31	\$525,790	\$19,490	\$15,813	\$3,676	\$509,976
32	\$509,976	\$19,490	\$15,924	\$3,566	\$494,052
33	\$494,052	\$19,490	\$16,035	\$3,454	\$478,017
34	\$478,017	\$19,490	\$16,147	\$3,342	\$461,869
35	\$461,869	\$19,490	\$16,260	\$3,229	\$445,609
36	\$445,609	\$19,490	\$16,374	\$3,116	\$429,235
37	\$429,235	\$19,490	\$16,489	\$3,001	\$412,747
38	\$412,747	\$19,490	\$16,604	\$2,886	\$396,143
39	\$396,143	\$19,490	\$16,720	\$2,770	\$379,423
40	\$379,423	\$19,490	\$16,837	\$2,653	\$362,586
41	\$362,586	\$19,490	\$16,954	\$2,535	\$345,632
42	\$345,632	\$19,490	\$17,073	\$2,417	\$328,559
43	\$328,559	\$19,490	\$17,192	\$2,297	\$311,366
44	\$311,366	\$19,490	\$17,313	\$2,177	\$294,054
45	\$294,054	\$19,490	\$17,434	\$2,056	\$276,620
46	\$276,620	\$19,490	\$17,556	\$1,934	\$259,064
47	\$259,064	\$19,490	\$17,678	\$1,811	\$241,386
48	\$241,386	\$19,490	\$17,802	\$1,688	\$223,584
49	\$223,584	\$19,490	\$17,926	\$1,563	\$205,658
50	\$205,658	\$19,490	\$18,052	\$1,438	\$187,606
51	\$187,606	\$19,490	\$18,178	\$1,312	\$169,428
52	\$169,428	\$19,490	\$18,305	\$1,185	\$151,123
53	\$151,123	\$19,490	\$18,433	\$1,057	\$132,690
54	\$132,690	\$19,490	\$18,562	\$928	\$114,128
55	\$114,128	\$19,490	\$18,692	\$798	\$95,437
56	\$95,437	\$19,490	\$18,822	\$667	\$76,614
57	\$76,614	\$19,490	\$18,954	\$536	\$57,661
58	\$57,661	\$19,490	\$19,086	\$403	\$38,574
59	\$38,574	\$19,490	\$19,220	\$270	\$19,354
60	\$19,354	\$19,490	\$19,354	\$135	\$0
Total paid over the term		Total interest		Total principal	
\$1,169,374.80		\$216,970.45		\$952,404.35	